

3. Provides decent returns depending on the mix of investments that you would want to take. It can be anywhere in the range of 8% to 10%
4. The government has also given a big boost to the National Pension System (NPS) in Budget 2015 by allowing a separate deduction of ₹50,000 over and above the Section 80C limit of ₹1.5 lakh (under Section 80CCD). This means that if you are in 30% tax bracket, you stand a chance to save an additional ₹17,000 per annum by investing in NPS

Disadvantages of NPS

1. The returns from NPS are fully taxable, unlike the EPF and PPF. Long term saving investment tools like EPF and VPF and even PPF work with EEE regime while NPS works with EET regime. This turns out to be one of the biggest drawbacks of using NPS as an investment option for retirement or financial freedom.
2. Some people argue that one may save 30% tax right now and when one retires and withdraws the money, one might fall in a lower tax bracket (may be 10% or 20%). Well, I would rather plan my life to be in 30% tax bracket after I get financially free, than plan for being in 10% tax bracket. I planned to be wealthy and financially free rather than living a subdued life.
3. You cannot withdraw all the money you invested (which was supposed to be yours). As much as 40% of the money you put in, has to be mandatorily invested in government annuity schemes (which provide perhaps the worst possible returns)